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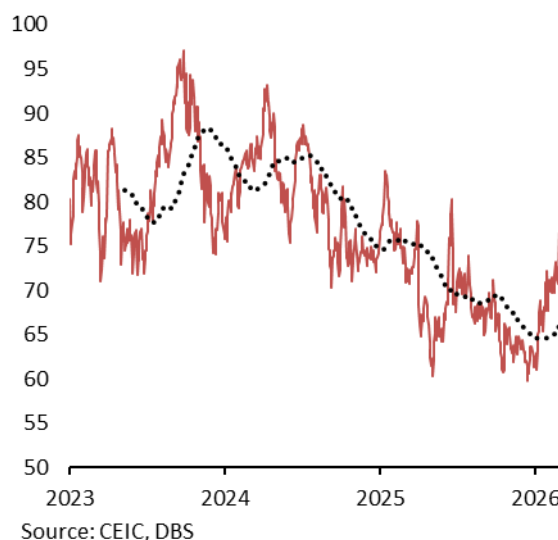


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- Oil prices have soared in recent weeks
- We see three channels of impact for India – risk sentiment, energy pricing, and economic activity.
- VIX is off highs but still elevated by historical comparisons.
- Along with crude oil, energy dependency extends to natural gas and LPG supplies from the region.
- We present scenarios on the economic impact, with the severity of the fallout to be dictated by duration of the conflict.
- Implications for markets: We expect weak risk uptake to weigh on the rupee.
- RBI will prefer to stay on a prolonged pause.

**Global oil benchmarks whipsawed sharply this week, book-ended by an initial rally in Brent crude to ~\$120bbl before correcting sharply below \$90bbl (see chart). Pullback was driven by indications from the US administration that the conflict in Iran might end soon, and that efforts are underway to step up oil supplies through waiver of selected sanctions, plans to dip into emergency stockpiles, and navy support for vessels through the Strait of Hormuz, amongst others. At the time of writing there was lack of clarity on the direction ahead, amidst mixed messages on the duration and intensity of the conflict.**

Crude Oil: Spot Price: Brent

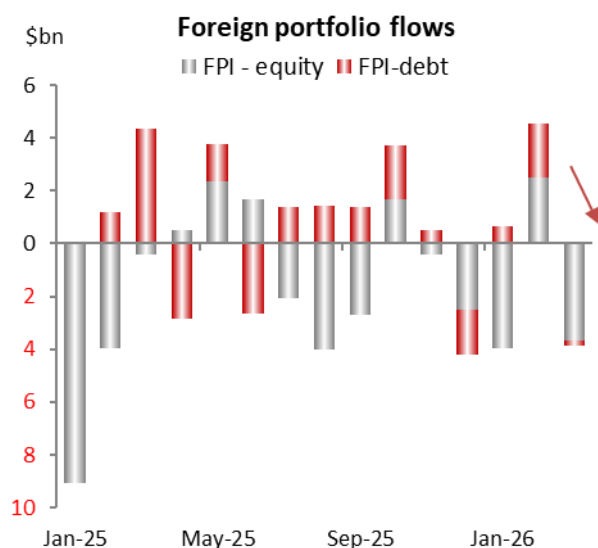


## Degrees of impact from the ongoing conflict

We covered the impact on the economy from the current geopolitical risks [here](#), [here](#) and [here](#). There are three channels of impact for India – risk sentiment, energy pricing, and economic activity, from a prolonged war in the Middle East, with the intensity of fallout to be guided by the duration of the conflict and extent of resultant supply shocks.

## Risk sentiments

India's VIX gauge remains at elevated levels, even if off highs (see chart), underscoring weak underlying risk sentiments. Domestic financial markets, including equity price action, bonds and rupee have felt the heat from the ongoing hostilities in the Middle East region. The currency had depreciated to a fresh low against the dollar, besides a tentative stabilisation in the benchmark equity indices after a sharp sell-off. After a reprieve in February, foreign flows have reversed out in March in midst of fresh geopolitical tensions (see chart).



To cap yields, the RBI conducted debt purchases via open market operations (OMO) worth INR 500bn on 9-Mar helping to stabilise the bond markets and has scheduled another INR500bn for 12-Mar, ahead of heavy seasonal advance tax as well as GST related outflows due in the coming weeks. This infusion will also ease the drain from strong FX intervention and maturing FX forwards. Authorities have also been active participants in the secondary markets in February, pre-dating the conflict, to rein in yields. The cumulative and sizeable scale of purchases have amounted to nearly three-fourth of net borrowings for the year. In midst of broader risk dislocations, markets had begun to price in tighter interest rate conditions in the year ahead, though are likely to correct in the near-term.

We expect the central bank to stay on a prolonged pause on policy rates, while undertaking specific steps to ease market tensions. Outside of the geopolitical tensions, we continue to expect the rupee to underperform the regional pack, even as the broader dollar might stabilise.

## Energy pricing

For a start, **India's direct trade with Iran** (led by food, pharma, animal feed exports and petroleum product imports) has diminished in the past five years owing to the long-standing US sanctions (see chart).

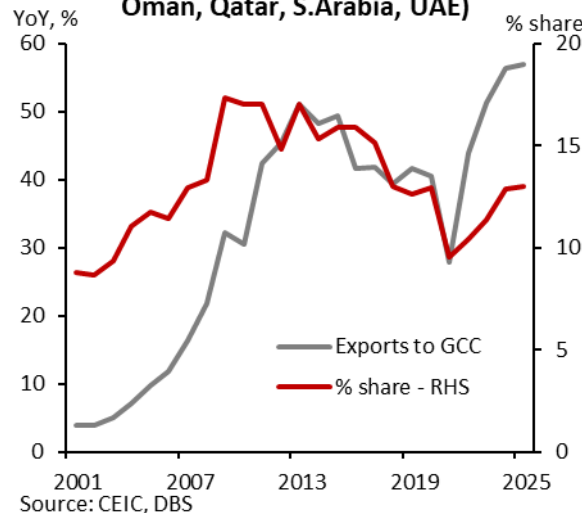


Source: Commerce Ministry, DBS

Amongst key investment commitments, India was a major partner in the development and operation of the Chabahar Port on Iran's southeastern coast, particularly to operate the Shahid Beheshti Terminal. While this investment is more strategic by nature rather than commercial, the exposure has faced the strain of sanctions by the West.

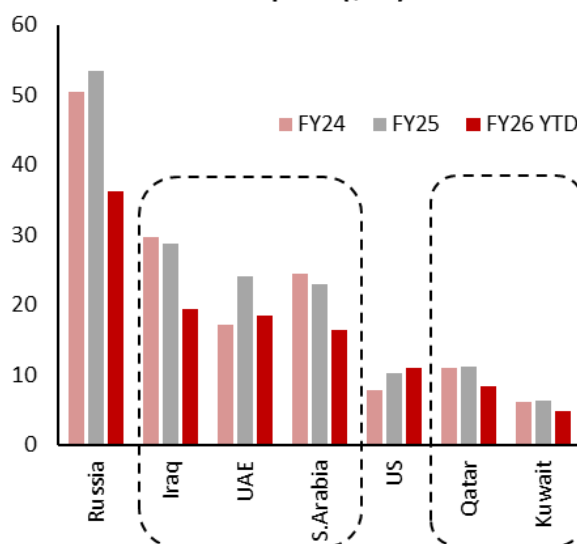
**Trade linkages to the broader Middle East region remains more significant and important.** Total trade with the GCC countries remains material (~15% of total trade) led by energy, machinery, gems & jewellery etc. A tenth of overseas Indians live in the UAE; ~38% of remittances. Add to this, Indians make up a big chunk of merchant shipping crew.

## India's exports to GCC (Bahrain, Kuwait, Oman, Qatar, S.Arabia, UAE)



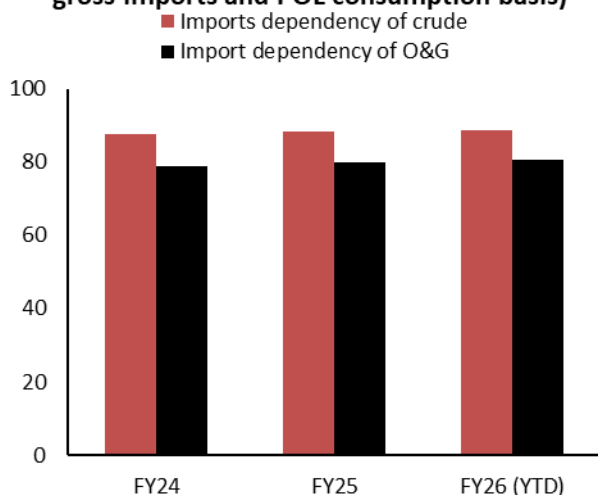
**Escalation in the Middle East tensions will pose supply risks to the broader hydrocarbon trade for the country, including exposure to crude oil, LNG and LPG markets.** India is the third largest oil consumer globally, with a heavy reliance on crude imports. The country imports more than 85% of crude oil supplies, of which more than 55-57% is from the Middle East countries (see chart). Around half of crude supplies, which amounts to 2.5-2.7mn/ day, travels through the Strait of Hormuz, largely from Iraq, Saudi Arabia, the UAE and Kuwait.

## India's petroleum crude and products imports (\$bn)



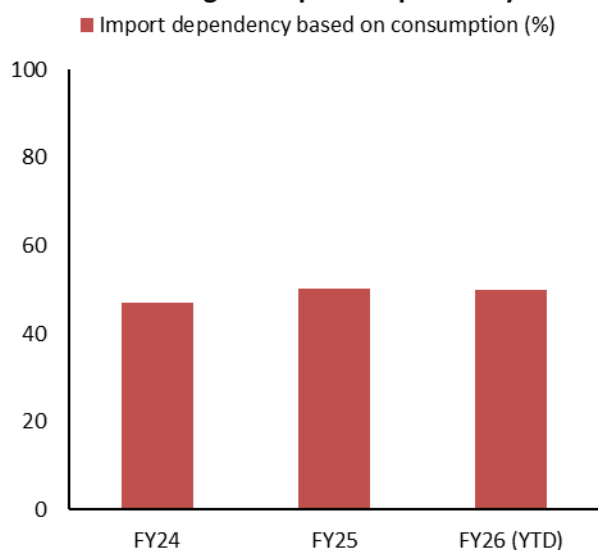
Source: Commerce Ministry, DBS

**Oil & gas - dependency on imports (% of gross imports and POL consumption basis)**



Source: PPAC, DBS

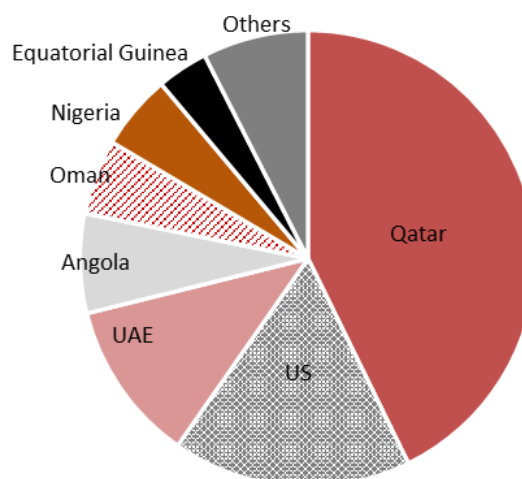
**Natural gas - imports dependency**



Source: PPAC, DBS

Additionally, more than 50% of the LNG is imported (see chart), two-third of which comes from the Middle east, key amongst which are supplies from Qatar. Notably, India is the world's fourth-largest buyer of LNG, with the current share of gas in the overall energy mix at a modest 6.2% (plan to increase to 15% within this decade).

**Liquefied natural gas imports % share value, 2024**



Source: CEIC, WITS, DBS

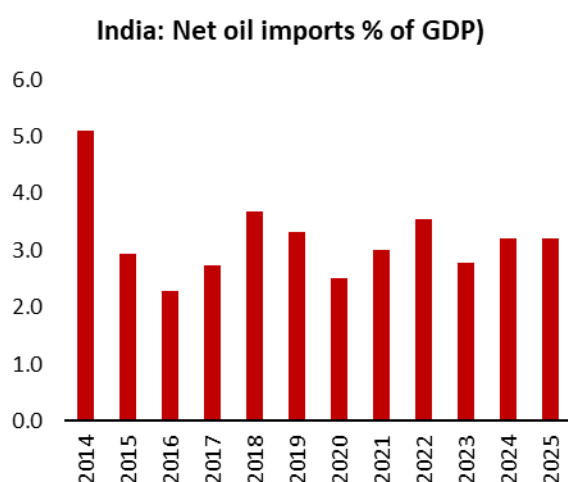
Lastly, two-third of LPG requirements are imported, which are in turn predominantly utilised by retail consumers (primarily cooking). With bulk of these resources passing by the Strait of Hormuz, indications that the vessel movements have grind to a near halt will intensify worries over the extent of stockpiles and backup inventories (LNG is most difficult to store).

**On the heels of the price volatility and looming supply shortages, measures are underway domestically to balance the available stock,** including prioritising household gas use while industrial consumers face potential delays/ disruptions. Several gas-related industries have also recently announced force majeure, especially those heavily reliant on imported gas volumes, including for instance petrochemical companies and refineries. Shortage in LPG supplies will largely impact retail consumers, with signs that the government has 20-25 days of inventory. **India's emergency strategic petroleum reserves**, managed by the state-run ISPRL, currently stands at ~30mn tonnes, according to officials cited by [reports](#), with the

storage is around 75-80% filled. Meanwhile, the government has reportedly no plans to join the International Energy Agency (IEA) initiative to release strategic oil reserves. To backstop supplies, the US had reportedly provided a 30-day waiver to India refiners to receive cargoes from Russia, of which oil is in afloat vessels. Indian authorities have, meanwhile, begun to seek alternate suppliers, for instance from Asia and Africa.

### Economic/ macro channel – scenario analysis

The persistence and sustainability of high oil prices will play a key role in shaping the scale of the economic impact on countries. Earlier, oil markets had downplayed these risks, but they have now intensified as reports surface about infrastructure damage and delays in production in the Middle East.



Source: CEIC, DBS. Net oil import is excess of imports over exports of oil. Positive values are net importer while negative ones are net exporter of oil. EU 27 exc. UK data is for 2024.

**Baseline forecasts for FY27:** Outside of the geopolitical developments, positive high frequency indicators, revised GDP numbers and the court ruling on tariffs which had lowered the effective tariff on India prompted us to revise up FY27 real GDP growth to 7% (from 6.5% earlier). CPI inflation stands at 4% and current account deficit is expected to widen from an estimated -1.0% of GDP to -1.3% of GDP in FY27, factoring in moderation in service trade receipts. Encouragingly, the economy's oil intensity has reduced from the past, as signaled by the moderation in the net oil imports. As it stands, net oil imports stood at \$123bn (~3.1% of GDP) in FY25.

**Sensitivities:** As a start, crude oil prices at \$80-\$85bbl will be manageable, while the economic impact will be most acute if prices average north of \$100bbl for the coming months. Baseline assumption in the RBI's monetary policy report in Oct25 stood at \$70bbl in second half of FY26, as global crude oil prices had exhibited a declining trend easing from \$77bbl in early-Apr25 to \$68bbl in Sep25. Official estimates are that a 10% increase in crude oil prices vs the baseline, and assuming full pass-through to domestic product prices, CPI inflation could turn out to be higher by ~30 bps and growth may be lower by around 15 bps. For the CAD, a \$10bl increase could push by the shortfall by 0.35% of GDP.

#### Scenario analysis

| Oil price                           | US\$80/bbl | US\$90/bbl | US\$100/bbl |
|-------------------------------------|------------|------------|-------------|
| GDP (change, ppt)                   | -0.15      | -0.25      | -0.40       |
| CPI (change, % ppt)                 | +0.25      | +0.35      | +0.5        |
| Current account/GDP (change, % ppt) | -0.35      | -0.50      | -0.60       |

Source: RBI, press, DBS; estimates vs FY27 baseline assumptions

The extent of impact on inflation will be dictated by who picks the incremental cost burden. India had undertaken measures to reform its fuel sector by deregulating petrol and diesel prices, allowing them to align with market rates to reduce fiscal deficits and losses of the upstream oil marketing companies. This helped to lower the fiscal burden on the government's books, with total subsidies accounting to 1.2-1.3% of GDP, of which petroleum is almost negligible at less than 3% of the total. However, in the event of a sharp rise in global fuel prices, authorities are likely to be cautious about fully passing on higher costs to consumers. The need to protect household purchasing power and support businesses as well as a packed state election calendar in 1H26 may prompt a more measured approach to retail fuel price adjustments, with the initial rise likely to be absorbed by the oil marketing companies (could lower dividend contribution). As an alternate to raising retail prices, excise duty cuts might be considered (for instance INR3/l reduction will amount to ~0.1% of GDP).

**BOP dynamics:** As highlighted above, the current account balance is likely to face a wider energy bill, pushing up the goods import bill. Concurrently, with the region making up ~40% of total remittances, inflows under this segment faces a second order impact if the conflict prolongs. As it stands, prior to the geopolitical tensions, financing flows for the current account gap were a bigger concern than the scale of the trade balance shortfall, with this likely to remain as a key flashpoint. A concurrent reduction in portfolio flows, narrowing net FDI and offshore borrowings crimped by a rise in costs/ hedging costs could keep the overall BOP in red in FY27.

## Conclusion

Geopolitical developments are fluid at this juncture, with the economic impact on India to be dictated by how long the conflict lasts and which countries in the Middle East are engulfed in these hostilities. A lift in Strait of Hormuz blockages might help to restore supplies but with a significant lag time.

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## Singapore: Assessing the risks from Middle East escalation

Economics/GDP/Inflation

DBS Group Research

March 10, 2026

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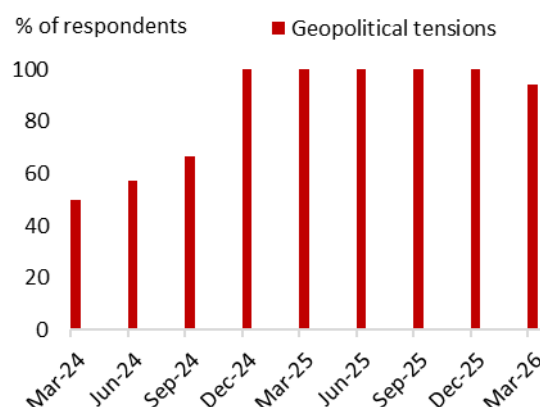
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- *Singapore's economy is confronting the Middle East uncertainty from a relatively strong position.*
- *It is exposed to the global energy shock due to its status as a price taker and its high import dependency, although risks are partly mitigated by diversified supply.*
- *Direct goods exports exposure to the Middle East is limited.*
- *Oil prices remaining at ~USD100/bbl would likely lift inflation more than they would depress economic growth.*
- *Policy space is ample to tackle this shock.*

Geopolitical risks have intensified significantly in March amid the ongoing escalation of Middle East tensions sparked by US-Israeli military strikes on Iran. Global oil and gas prices have surged on the back of the Iran-centred conflict, which is already disrupting energy shipments through the Straits of Hormuz - the world's most critical energy chokepoint, with ~20% of global oil and gas flows transiting through it.

**Singapore will be negatively impacted from the wider Middle East disruption. We assess the impact to be felt more through the inflation channel, given Singapore's position as a price taker that is highly dependent on energy imports.** Nonetheless, the economy is confronting this uncertainty from a relatively strong position, amid solid growth momentum buoyed by global artificial intelligence-related tailwinds, still-low inflation, healthy external metrics, and ample policy space in early 2026.

**Potential downside risks to the Singapore economy**

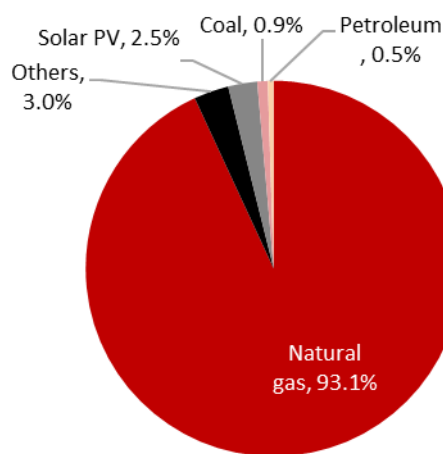


Source: MAS Survey of Professional Forecasters, DBS  
Note: The chart refers to the absolute share of respondents, who have cited geopolitical tensions as a downside risk.

## Energy supply and trade exposure

Singapore is exposed to the current global energy shock due to its high import dependency, although risks are partly mitigated by diversified supply. It relies heavily on natural gas for electricity generation, accounting for >90% of the energy mix, with costs tied to oil prices by commercial contracts.

Singapore electricity generation energy mix

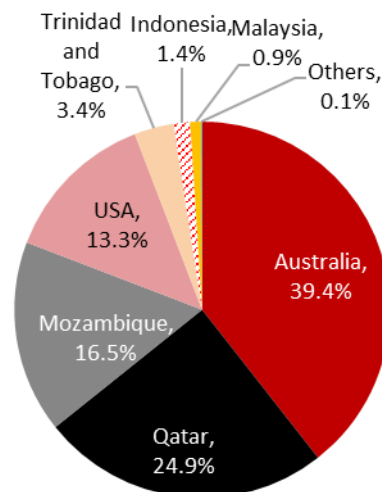


Source: Energy Market Authority, DBS  
Note: data as of 1H25.

Singapore's liquified natural gas (LNG) import mix is well distributed. Although Qatar accounted for ~25% share in volume terms as of 2024 (with some news sources citing >40% share in 2025), other key supply sources included Australia, Mozambique, and the US. Pipeline natural gas supplies from Indonesia and Malaysia, which together accounted for 43% of overall natural gas imports in 2025, provide an additional buffer. However, crude oil imports are more exposed to the Middle East, with ~50% in total coming from the UAE, Qatar, and Saudi Arabia in 2024, although the US was also another notable supplier.

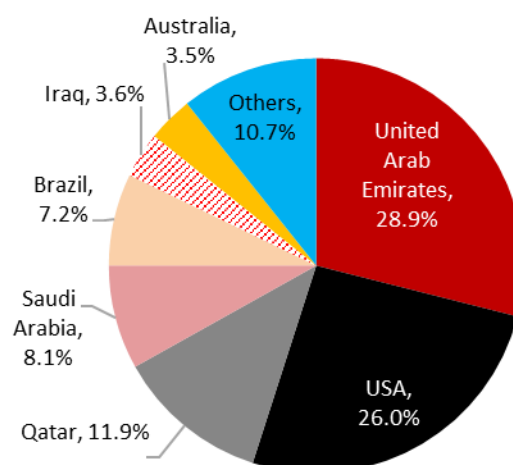
Singapore's direct goods exports exposure to the Middle East is limited, accounting for ~1.5% of the total in 2025. This suggests that a demand shock in the Middle East is unlikely to place significant downside pressure on exports.

Singapore LNG imports by source



Source: UN Comtrade, DBS  
Note: Calculations were based on volumes as of 2024.

Singapore crude oil imports by source



Source: UN Comtrade, DBS  
Note: Calculations were based on volumes as of 2024.

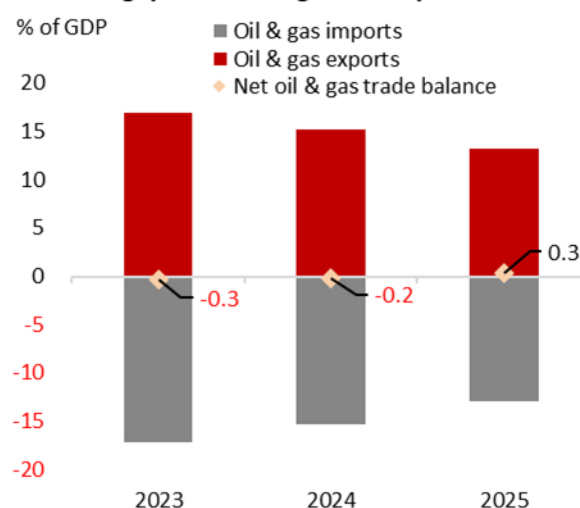
## Macroeconomic implications

The global energy price shock in an event of a protracted Middle East conflict would likely raise Singapore's inflation more than it would depress economic growth, in our view. If Brent crude oil price remains at around USD100/bbl for the rest of the year, we estimate that Singapore's headline inflation could rise by around 1.5 percentage points (pp), while real GDP growth could be lowered by 0.4 pp (see ['Macro Insights Weekly: Asia's vulnerability to the Iran crisis'](#) for additional analysis for other Asian economies).

Singapore's consumers and export-oriented firms will have to brace for higher electricity, transport-fuel, and shipping costs arising from the increase in global energy prices and supply chain disruptions from the Middle East conflict. We estimate around 7+% of the overall CPI basket would likely be directly impacted by higher energy prices. Manufacturers are already facing capacity and supply chain constraints, as reflected in the sharper contraction in the supplier deliveries sub-index of the February manufacturing purchasing managers' index at 49.6 – the lowest in about two years since early 2024. The escalation in geopolitical tensions only heightens the risks of further disruptions that could dampen factory and trade growth.

However, Singapore's energy intensity per unit of GDP has been declining over the years due to improvements in energy efficiency. Considering Singapore's net oil and gas trade position, a potentially higher oil and gas import bill from the price spike could be offset by increased export revenues amid improved refining margins, even though the chemical sector faces disruptions.

Singapore's oil & gas trade position



Source: CEIC, DBS

## Policy implications

**Singapore has ample policy space to tackle the external shock from Middle East geopolitical uncertainty.** On fiscal policy, we think the government has significant room to deploy targeted cost-of-living support measures, should energy-driven inflation place meaningful pressures on households over the coming months, consistent with its response in past high inflation periods in 2022 and 2023. Fiscal space is supported by its healthy public finances, having budgeted an overall fiscal surplus of 1.0% of GDP in FY2026, distinguishing Singapore from more fiscally constrained ASEAN economies.

On monetary policy, imported price pressures should continue to be dampened by the ongoing appreciation of the Singapore dollar nominal effective exchange rate (SGD NEER), following the Monetary Authority of Singapore (MAS)'s decisions to maintain the policy band's appreciation in January 2026, as well as October and July 2025. However, the recent spike in global energy prices is starting to complicate the MAS's policy bias towards earlier tightening.

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## Taiwan: Navigating oil price shocks

Economics/growth/monetary

Group Research

March 5, 2026

## Ma Tieying, CFA

Senior Economist



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- Taiwan is highly exposed to oil price shocks amid the Iran conflict, with heavy reliance on thermal power, almost entirely imported, and a large share of crude oil and LNG sourced from the Middle East.
- Direct export exposure to the Middle East is minimal, while structural technology trends continue to support Taiwan's exports.
- An oil price shock would pressure Taiwan's "Goldilocks" mix of strong growth and contained inflation, but is far from causing stagflation.
- The central bank retains monetary policy flexibility.
- **Forecast implications:** We maintain our 2026 GDP growth forecast of 7.0%, while seeing upside risks to our inflation forecast of 1.5%.

The ongoing conflict involving Iran and the US/Israel has immediately impacted global energy markets and maritime trade. Roughly 20–30% of the world's crude oil and liquefied natural gas (LNG) passes through the Strait of Hormuz, and disruptions there have reduced the flow of Middle Eastern oil and LNG. Markets have responded, pushing Brent crude and other benchmarks higher. Meanwhile, insurers have withdrawn war-risk coverage, and major carriers have suspended Gulf transits, creating vessel backlogs and higher freight costs. Alternative routes around Africa increase transit time and costs, although shipping and logistics are gradually adjusting to these challenges.

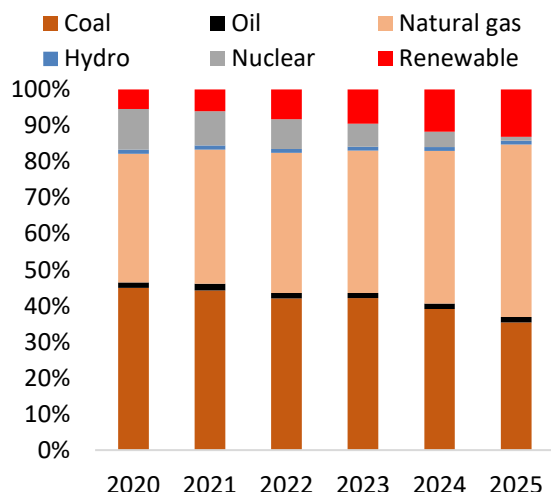
**Energy exposure**

**Taiwan is highly exposed to oil price shocks due to its energy structure. The island relies heavily on thermal power**, which accounts for around 85% of electricity generation. Although renewable capacity has expanded in recent years, much of the increase has offset the phase-down of nuclear power rather than materially reducing fossil fuel dependence.

**Nearly all thermal fuel inputs are imported.** Net fuel imports accounted for around 4% of nominal GDP in 2025, among the highest ratios in Asia, leaving the economy sensitive to sustained increases in global energy prices and shipping costs.

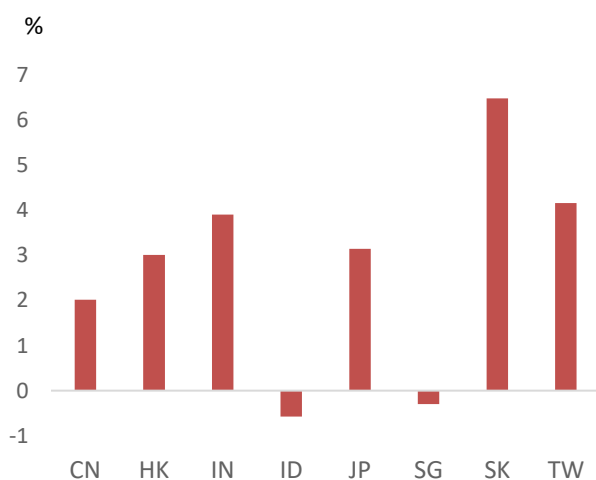


Taiwan: Electricity supply



Sources: CEIC, DBS

Asia: Net fuel imports/nominal GDP (2025)



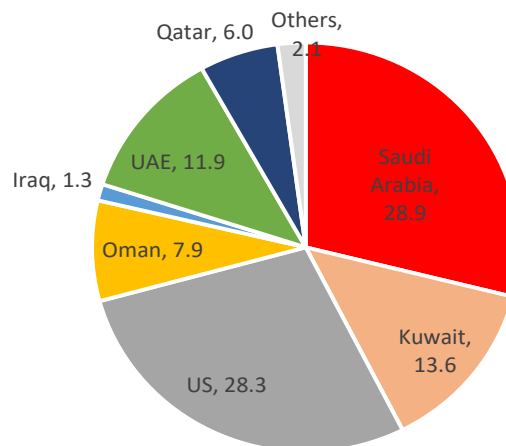
Sources: CEIC, DBS

Taiwan sources roughly 70% of its crude oil from the Middle East—particularly Saudi Arabia, Kuwait, and the UAE—and about 30% of its LNG from Qatar. A prolonged disruption in Hormuz would tighten supply and raise costs, although strategic reserves and diversified suppliers reduce the risk of severe shortages.

Higher input costs would raise electricity tariffs and production costs, particularly for energy-intensive sectors such as petrochemicals, steel,

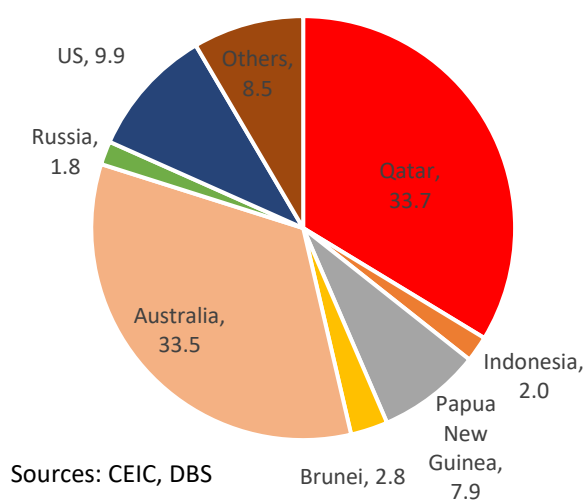
and semiconductor fabrication. Households would face higher energy bills, although government subsidies and ongoing wage growth should help cushion the impact.

Taiwan: Crude oil imports by source (2025)



Sources: CEIC, DBS

Taiwan: LNG imports by source (2025)



Sources: CEIC, DBS

## Trade exposure

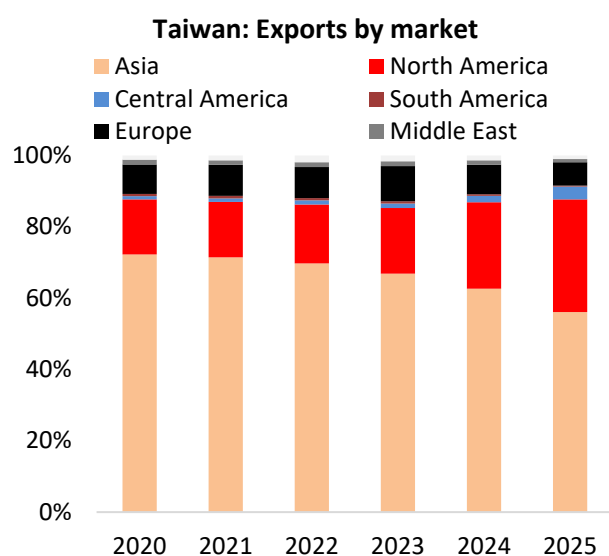
Taiwan's direct export exposure to the Middle East is minimal, accounting for less than 1% of total exports in 2025. Europe accounts for around 6%, suggesting that shipping disruptions in the Red Sea or Suez Canal would have only a limited first-round impact on trade volumes.



**The larger risk comes from second-order effects of higher global energy costs.** Elevated oil prices act as a tax on consumption, reducing household purchasing power in key markets such as the US and Europe. This could dampen demand for consumer electronics, PCs, and smartphones. **However, structural technology trends continue to support Taiwan's exports.** AI-related investment, data centers, and industrial policy-driven growth provide a cushion, helping offset a slowdown in traditional electronics exports.

1.3ppt. These estimates exclude additional drag from weaker global demand, which could further affect exports and GDP.

**The central bank retains flexibility.** With a base-case GDP growth forecast of 7% and CPI at 1.5%, the risk of inflation exceeding 2% may initially outweigh the risk of growth falling below potential (~3%), supporting a bias toward tightening. If external demand weakens and export momentum slows, policymakers can pivot toward easing to stabilize growth.



Sources: CEIC, DBS

## Macro implications

**An oil price shock would weigh on Taiwan's "Goldilocks" mix of strong growth and contained inflation, but it is far from triggering stagflation.** If oil stabilizes around US\$80/bbl, GDP growth could slow by roughly 0.3ppt, with CPI rising about 0.4ppt. If oil reaches US\$100/bbl and remains at that level for the rest of the year, GDP growth could decline by about 0.9ppt, and inflation could rise around

## Market implications

**Financial markets remain another channel of adjustment.** Taiwan's equity valuations are high, with total market capitalization of the TWSE exceeding 300% of nominal GDP. Heightened geopolitical risks may prompt global investors to reduce exposure to high-beta markets. Still, strong corporate earnings and technology sector growth provide resilience, helping the market absorb shocks without destabilizing the broader economy.

## Related reports:

[Taiwan: Asia's growth champion](#)

[Taiwan: A historic trade deal](#)

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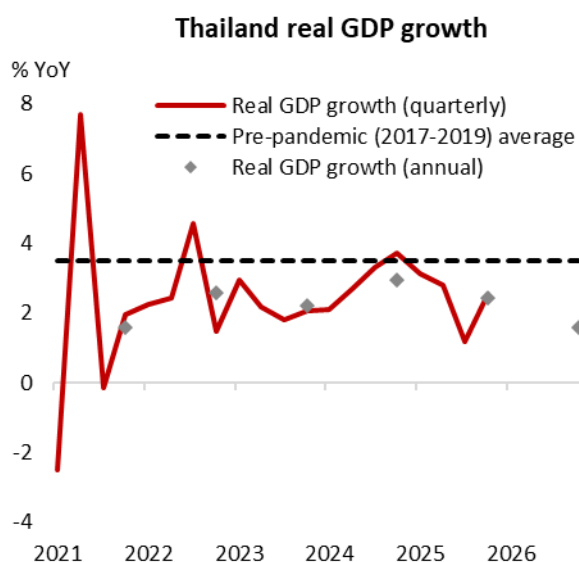
Senior Economist



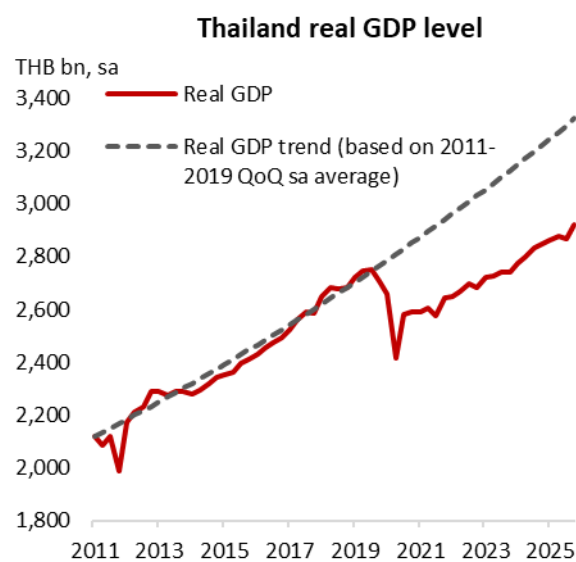
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- Thai real GDP growth rose to 2.5% yoy in 4Q25 due to improved domestic demand. Nonetheless, full-year growth eased to 2.4% in 2025.
- Private and government consumption were boosted by stimulus in 4Q25, but household spending will likely be constrained by income challenges and high debt in 2026.
- Good exports, while strong, eased in 4Q25, and will face headwinds from the lagged impact of US tariffs in 2026. The recovery in foreign tourism will likely be gradual.
- High likelihood of policy continuity after the Bhumjaithai Party's decisive electoral victory.
- We expect the dovish BOT to cut its policy rate by 25bps to 1.00% in 2026, but will likely hold in February to preserve policy space after the better-than-expected 4Q25 growth.
- **Forecast implications:** We maintain our 2026 forecasts for real GDP growth and headline inflation at 1.6% and 0.5%, respectively.



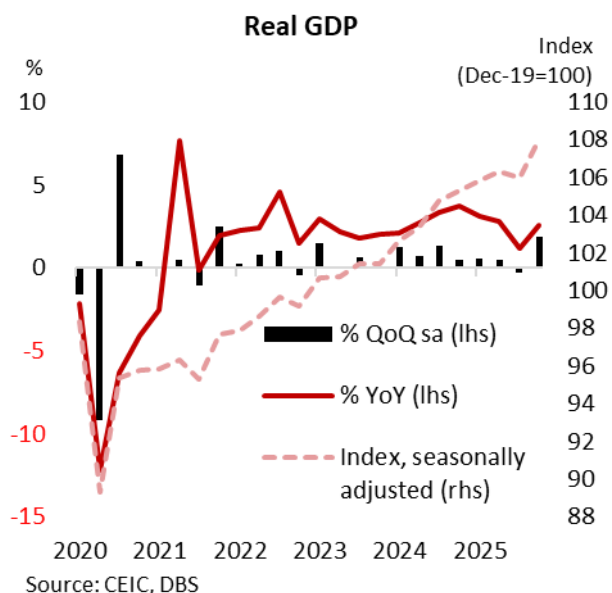
Source: CEIC, DBS. 2026 = DBS forecast



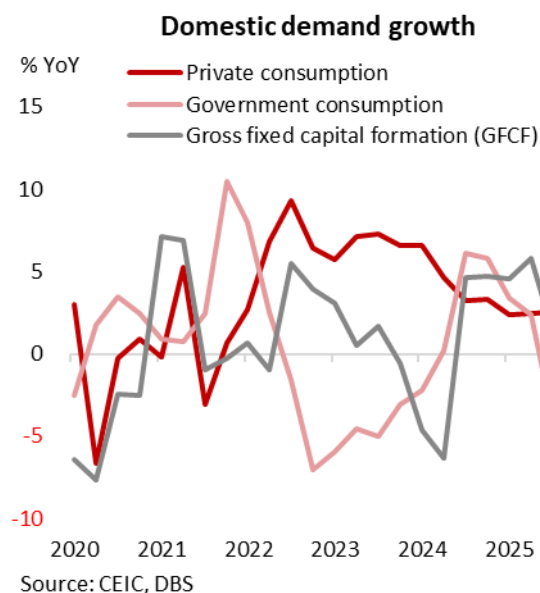
Source: CEIC, DBS

## Real GDP growth

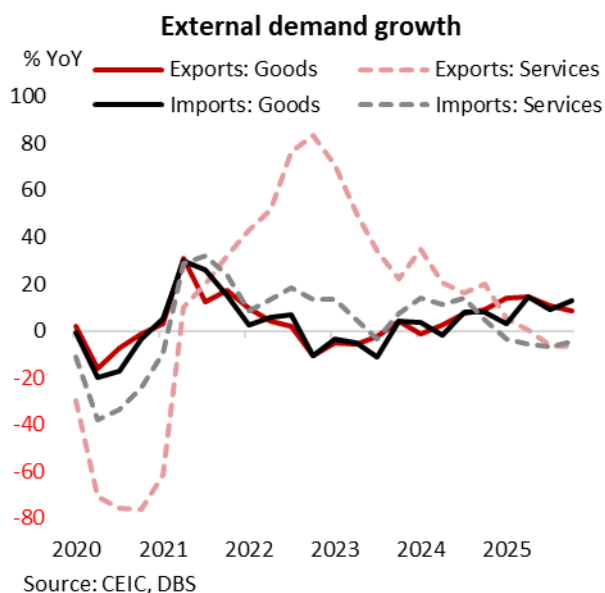
Real GDP growth rose to 2.5% yoy in 4Q25, up from 1.2% yoy in 3Q. However, growth for full-year 2025 eased to 2.4%. We maintain our forecast for slower growth of 1.6% in 2026, given various challenges.



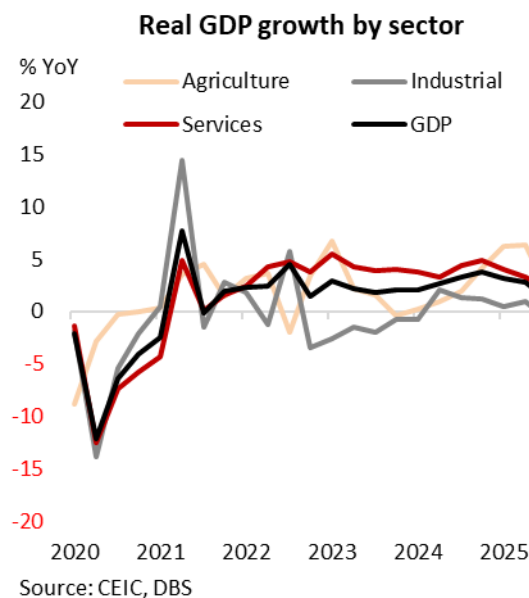
Overall growth was boosted by improved domestic demand in 4Q25. Private consumption and government consumption were lifted by temporary stimulus support. Investment growth surged to the highest in 10 years.



External demand growth in 4Q25 eased further for the third consecutive quarter. Goods exports, while strong, decelerated, and services exports remained in contraction.

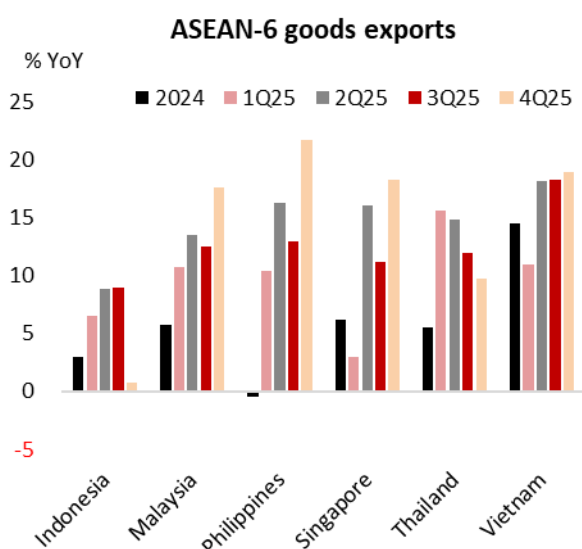


The pick-up in economic expansion was driven by a rebound in the industrial and services sectors in 4Q25. The agriculture sector was negatively impacted by weather disruptions.

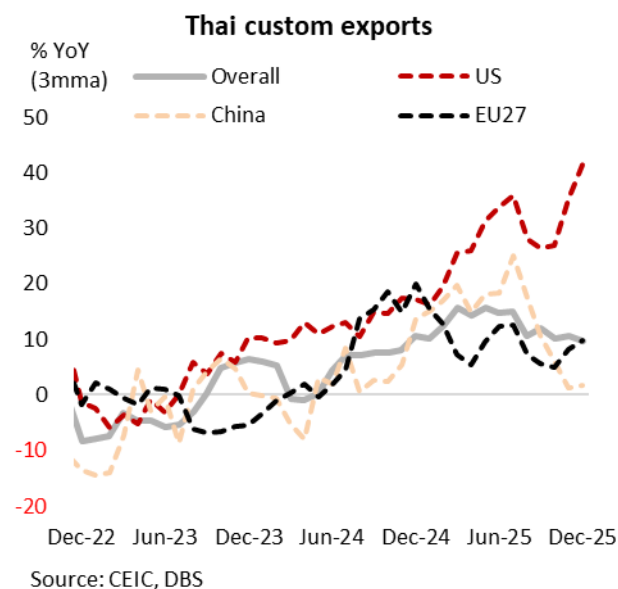


## Goods exports

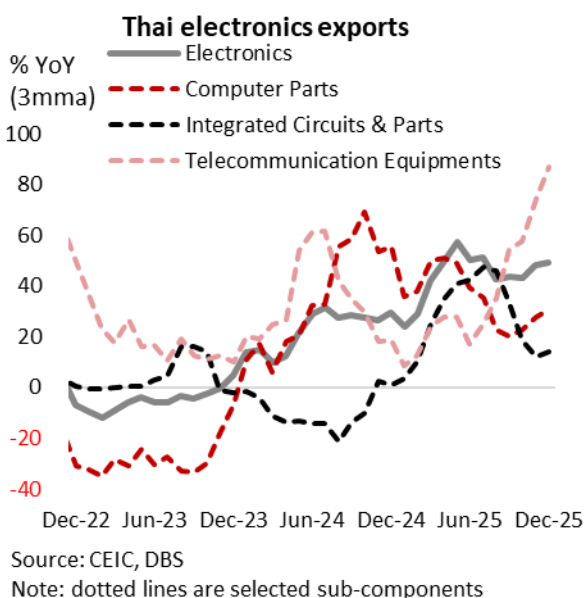
Regional goods exports performed well in 2025 despite the US tariff roller coaster. However, strong Thai export growth eased over the course of 2025. Thai shipments will face headwinds from the lagged impact of US tariffs in 2026.



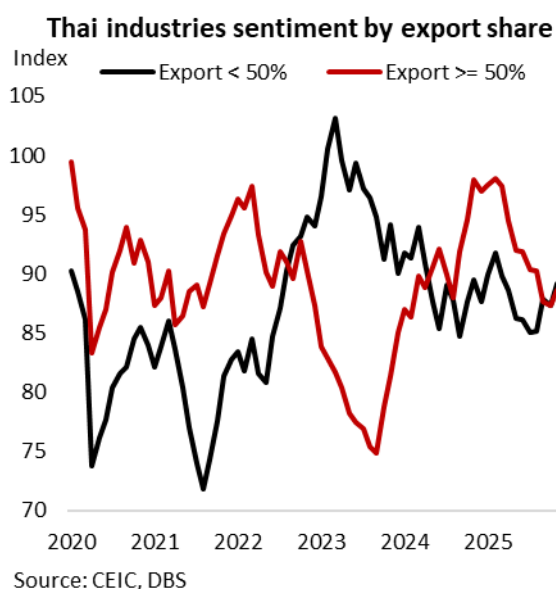
Thai goods exports benefitted from accelerating momentum to the US in 2025, but this trend looks unsustainable in 2026.



Thai electronics exports have been supported by global artificial intelligence (AI)-related external tailwinds. While these tailwinds remain supportive, there are risks of excessive exuberance.



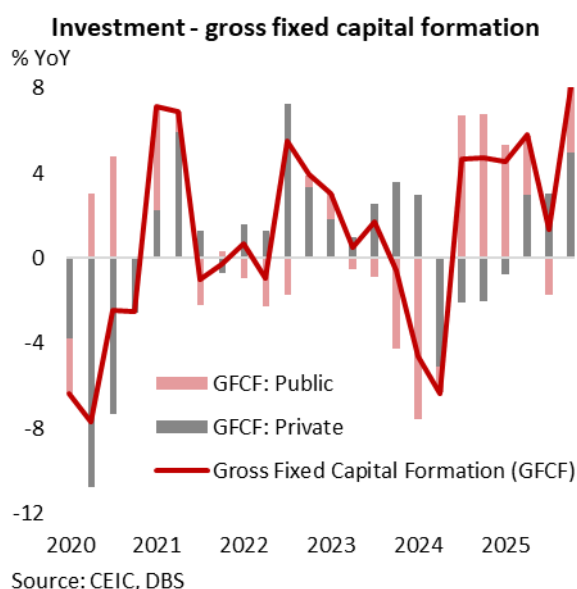
Sentiment among Thai industries more exposed to exports remains cautious despite strong export growth, likely due to the still-uncertain global trade policy landscape.



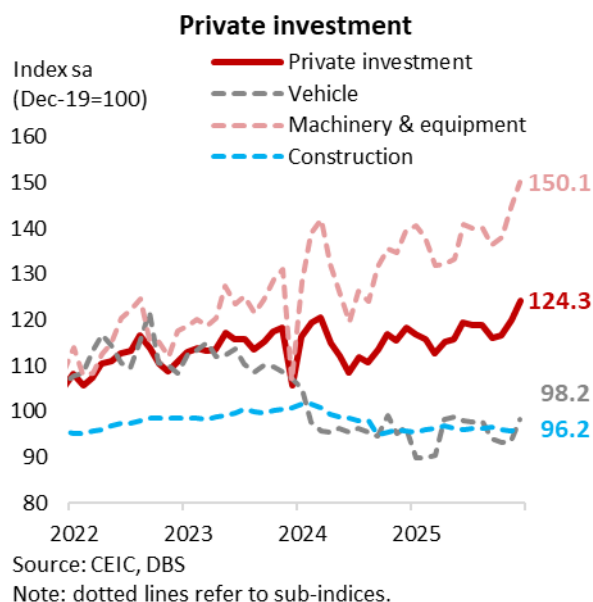


## Investment

Quarterly investment growth in 4Q25 accelerated to a 10-year high, driven by both public and private sectors. We will have to watch if the strong momentum can be sustained in 2026.



Private investment was mainly supported by an increase in machinery and equipment at the end of 2025. However, an uncertain domestic and external landscape could dampen investor sentiment.



The Bhumjaithai Party looks likely to lead the new coalition government after its decisive victory during the elections on 8 February. We see increased likelihood of political stability with a technocratic government to implement its proposed economic policies, but execution remains key.

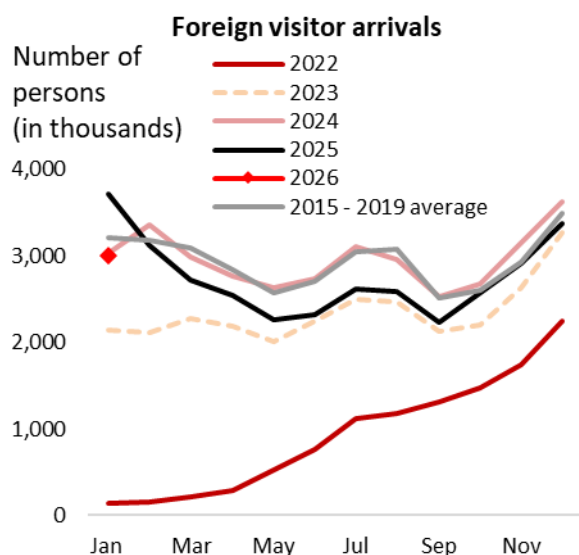
The Bhumjaithai Party's Economy 10 Plus Policies

| # Policies                                                   | Description                                                                                                                                                                                                                                                                                                                          | # Policies                                        | Description                                                                                                                                                                                                                            |
|--------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 Small & Low-Income Support (Small Business & Welfare Plus) | Support for small businesses and low-income households through reforms to the state welfare card, continued co-payment (Half-Price Plus) scheme, electricity subsidies (capped at 3 THB per unit for the first 200 units), government savings bonds and savings incentives, and fast debt consolidation to reduce financial burdens. | 6 Green Economy Plus                              | Supporting environmentally friendly economic activity, clean energy (e.g., solar and EV sectors), a carbon market, and incentives for green businesses to promote sustainable growth.                                                  |
| 2 Made in Thailand SMEs Plus                                 | Strengthening Thai SMEs with capital injections, easier loan guarantees, improved market access, and support to help locally-made goods succeed domestically and abroad.                                                                                                                                                             | 7 Digital & AI Plus                               | Expanding access to AI and digital tools to improve productivity, income opportunities, and new job creation.                                                                                                                          |
| 3 Investment Plus                                            | Boosting investment (targeting around 30 % of GDP within four years), including public-private co-investment and incentives to attract both domestic and foreign investment, especially in future industries.                                                                                                                        | 8 Equal Education Plus                            | Genuine free education with built-in pathways to employment — including online platforms, skills training, and job linkage programs.                                                                                                   |
| 4 Produce & Sell Plus                                        | Enhancing production of the right goods and ensuring they meet consumer demand, along with support for local production tailored to market needs.                                                                                                                                                                                    | 9 Senior Citizens Plus                            | Policies to enhance employment, income, care, and tax benefits for senior citizens (e.g., tax deductions for hiring seniors, incentives for elderly employment, community caregiver programs, and development of senior care centers). |
| 5 Trade Plus                                                 | Promoting smart, high-value trade, upgrading the production base, and expanding Thai exports via mutually beneficial international partnerships.                                                                                                                                                                                     | 10 Thailand Plus (Regulatory & Governance Reform) | Streamlining regulations, accelerating approvals, and creating a more investment-friendly environment to support a “new economy” and increase Thailand’s competitiveness.                                                              |

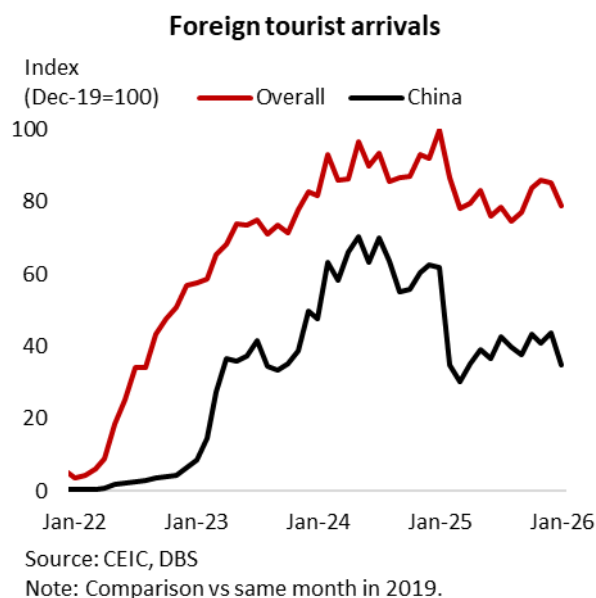
Source: News, DBS compilation

## Tourism and Private consumption

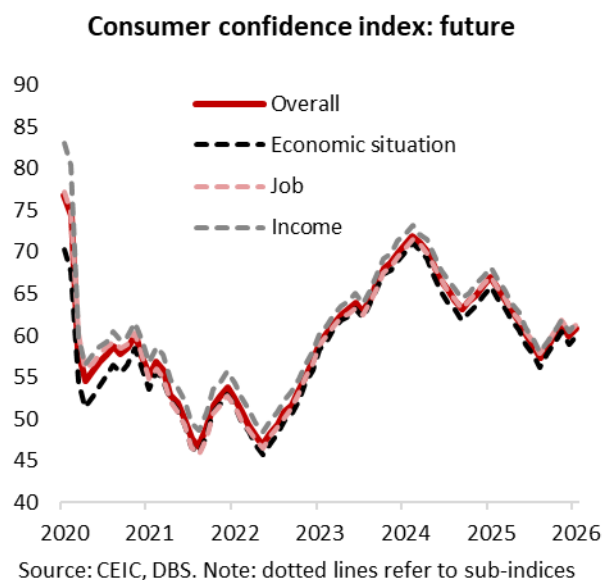
Thailand's foreign tourism is starting 2026 on a soft note, following the gradual increase in 4Q25. The outlook is for a modest improvement in 2026, but a strong baht could pose competitiveness challenges.



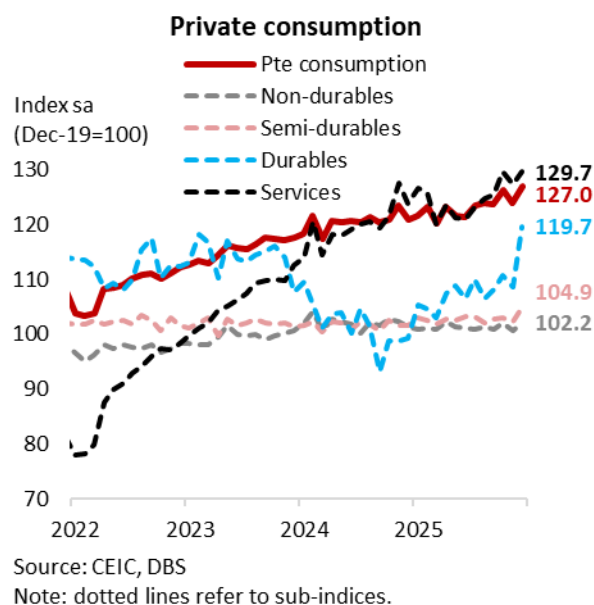
The kingdom faces challenges in attracting Chinese tourists, having been impacted by safety concerns, and is also losing them to regional destinations. The recovery in Chinese tourists will likely be gradual.



Consumer confidence recovered slightly in 4Q25 due to government stimulus, but will likely be cautious in early 2026 amid income challenges due to economic uncertainty.

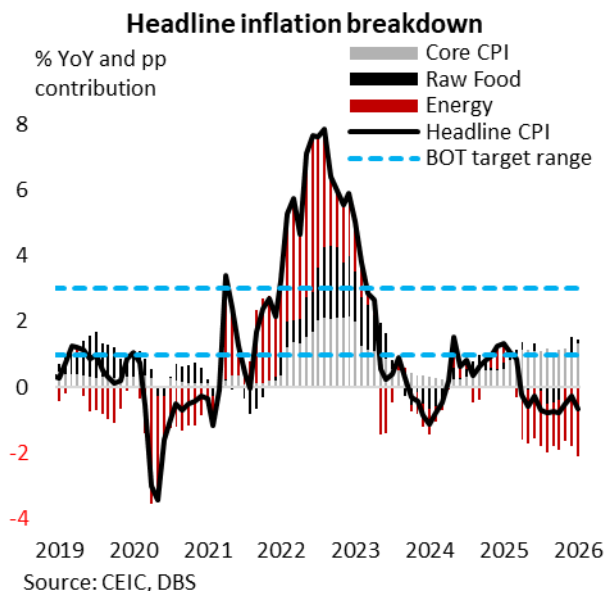


Private consumption was temporarily boosted by durable goods, notably vehicle sales. However, purchasing power remains fragile amid cautious consumer sentiment, and high household debt.

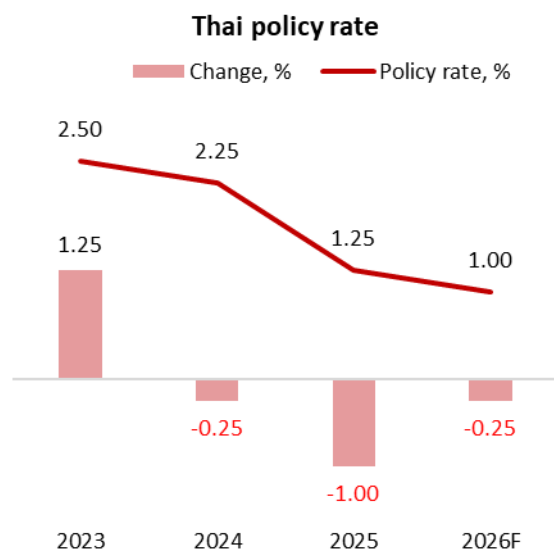


## Inflation and Monetary policy

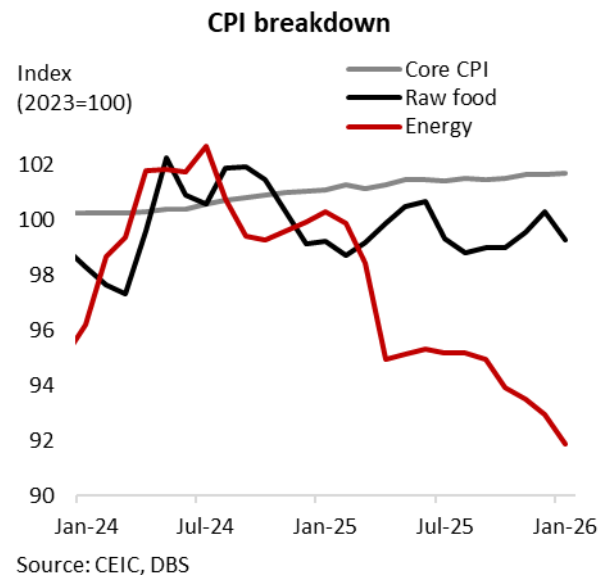
Headline inflation remains negative for the 10<sup>th</sup> consecutive month as of January 2026. This was due to supply-side factors, although demand-pull pressures were also weak. We maintain our forecast of 0.5% for 2026.



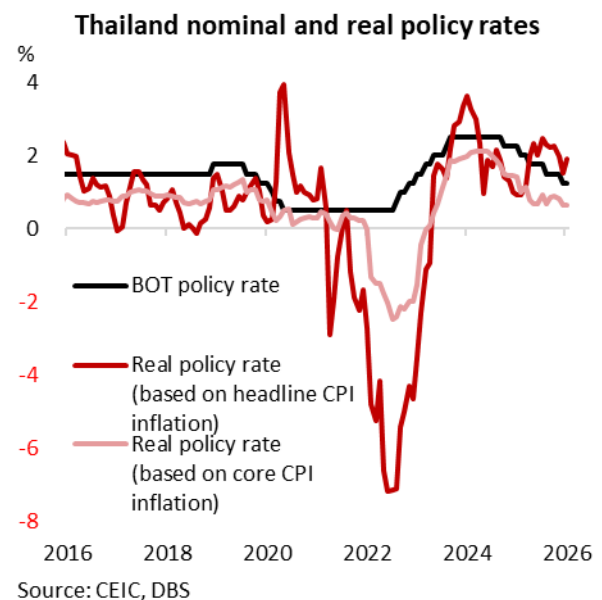
While we think the Bank of Thailand (BOT) will cut its policy interest rate again in 2026 to support growth, we see little urgency to ease monetary policy in February after the stronger-than-expected growth rebound in 4Q25.



Lower energy prices, including fuel and electric tariffs, are the key supply-side factor dampening headline inflation. Food prices face some upside pressure from weather disruptions. Core CPI is only edging up gradually.



Real policy interest rates in Thailand are not low, even as the BOT has eased monetary policy by 125bps since October 2024. There is still room for rate cuts, although policy space is diminishing.



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## Singapore Budget 2026: Future-focused strategies

Economics/GDP/Fiscal

DBS Group Research

February 13, 2026

Chua Han Teng, CFA  
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- *Budget 2026 is pragmatic and forward-looking, sharpening economic competitiveness and strengthening the social compact.*
- *Strategic plans to harness AI, spur internationalisation, and boost enterprise funding aligned with the Economic Strategy Review are encouraging.*
- *Social support is reinforced with continued assurances and targeted aid.*
- *Fiscal discipline is reaffirmed with an overall surplus for the third consecutive year in FY2026.*
- *The government projects an overall fiscal surplus of SGD8.5bn (1.0% of GDP) in FY2026, compared to SGD15.1bn (1.9% of GDP) in FY2025.*

**We view Budget 2026 as a strategic, forward-looking plan that sharpens Singapore's economic competitiveness and strengthens the social compact under the Forward Singapore agenda, underpinned by fiscal discipline.** By laying out the policy toolkit to advance the long-term direction and recommendations in the Economic Strategy Review (ESR) Mid-term Update, it positions Singapore to better navigate an increasingly complex and fractured global landscape amid domestic constraints. At the same time, continued social support aims to strengthen inclusion. We highlight six key takeaways.

### 1) Leveraging artificial intelligence (AI)

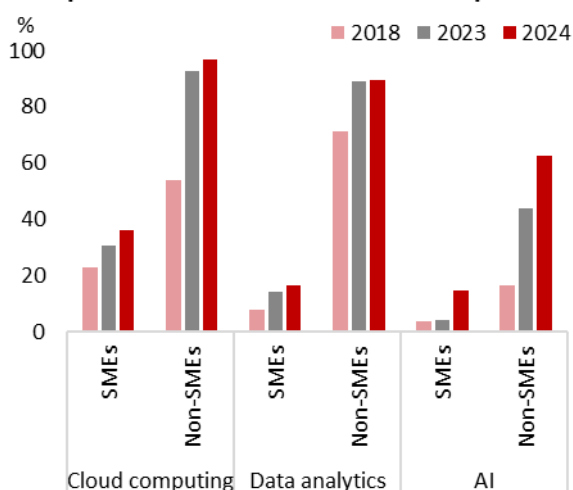
AI, featured prominently within the seven recommendations of the ESR Mid-term Update, is a major focus in Budget 2026. Key policies in the budget aim to leverage technology to power Singapore's next phase of economic growth. **We believe harnessing AI effectively across the economy will boost productivity – a crucial driver of competitiveness and growth over the next decade – as Singapore's mature economy faces increasingly binding land and labour constraints.**

Co-ordinated efforts, including the formation of a National AI Council chaired by the Prime Minister, new national AI Missions across four strategic sectors, and the establishment of an AI park, aim to position Singapore strategically as a global AI leader, driving innovation while enabling effective and targeted deployment of AI at greater scale and speed. A notable enhancement is expanding the Productivity



Solutions Grant (PSG), which has been key in helping small and medium-sized enterprises (SMEs) implement digital and automation solutions to raise productivity over the years. Expanding the PSG to allow firms of any size to access AI-enabled tools will help to defray AI adoption costs and therefore incentivise enterprise-wide adoption, particularly among SMEs, which have lagged large corporates.

**Room for AI adoption to grow;  
Gaps between SMEs and Non-SMEs persist**



Source: Singapore Digital Economy Reports, DBS

Building an AI-ready workforce will also be a key ingredient for broad-based AI utilisation across the economy. To encourage wide-spread learning, familiarity, and usage of AI, Singaporeans who undergo selected training courses will receive six months of free access to premium AI tools, supported by a redesigned SkillsFuture website to help learners better identify suitable AI courses. The expansion of TechSkills Accelerator for mid-career workers will gradually diffuse AI capabilities into non-tech sectors, starting with accountancy and legal professions before extending to other fields.

## 2) Spurring internationalisation and increasing capital availability

Strengthening connectivity and aggressively supporting internationalisation is another key recommendation in the ESR Mid-term Update. Enhanced internationalisation schemes, such as the Market Readiness Assistance Grant and the Double Tax Deduction for Internationalisation scheme, will support the ambitions of Singapore enterprises, as they aim to expand into new overseas markets and diversify revenue streams for greater growth, as well as build resilience amid global uncertainty and a limited domestic market. **This internationalisation momentum is evident, with around eight in 10 SMEs planning overseas expansion in 2026, according to a recent DBS Business Pulse Check survey.**

The ESR Mid-term Update also recommends sustaining a vibrant startup ecosystem through increased enterprise capital availability. Various enhancements and top-ups to the Startup SG Equity Scheme (SGD1.0bn), the Anchor Fund (SGD1.5bn), and the Financial Sector Development Fund (FSDF) (SGD1.5bn) broaden access to funding from private to public markets, supporting companies' growth ambitions. **Boosting the Equity Market Development Programme (EQDP) via the FSDF will add impetus to the ongoing revival of the public equities market.**

## 3) Committed to green transition

Budget 2026 reaffirms Singapore's steadfast commitment to the green transition and sustainability. The city continues to make progress towards its long-term target for net zero emissions by 2050. The government is therefore raising the 2030 solar deployment target to 3 gigawatt-peak, after reaching the



target of 2 gigawatt-peak well ahead of schedule. It also reiterated its goal of achieving 100% cleaner energy vehicles by 2040. The extension of the Energy Efficiency Grant and green loans support under the Enterprise Financing Scheme will provide businesses with key financial support to adopt green solutions.

Singapore will press on with increasing the carbon tax to spur decarbonisation from the current SGD45/tonne. Yet, Budget 2026 signals that the carbon tax may be positioned at the lower end of its projected SGD50-80/tonne range by 2030, giving businesses greater clarity for planning future carbon costs.

#### 4) Alleviating business cashflows and costs

With economic resilience still possibly likely to be tested this year amid external uncertainty, the government will provide a slightly reduced corporate income tax rebate, which we expect to continue supporting firms' cashflow needs. Companies are also likely to be prudent on cost management, particularly manpower-related expenses. In this regard, enhancements/extensions to various schemes, such as the Progressive Wage Credit Scheme, the Senior Employment Credit, and the CPF Transition Offset, will help shoulder wage costs, amid efforts to uplift lower-wage workers and encourage the continued employment of senior workers.

#### 5) Strengthen social compact

Government efforts to strengthen the social compact by mitigating inequality and strengthening inclusion are evident in the budget policies. Key initiatives include raising the Local Qualifying Salary to uplift the incomes of lower-wage workers, increasing the monthly household income threshold for pre-school education subsidies, and enhancing the

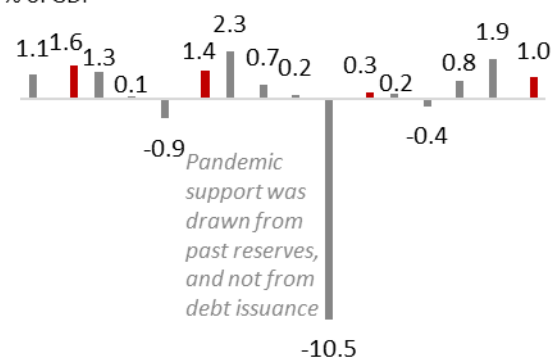
ComLink+ Progress Packages for families. The latest round of targeted assistance, including cash payments, U-Save rebates, and CDC vouchers, builds on earlier support frameworks and provides timely cushion and relief to households facing ongoing cost pressures.

#### 6) Strong fiscal position

**Budget 2026, the first fiscal plan of the new term of government, strikes a balance between calibrated, targeted policy support and fiscal discipline.** The government's budgeted overall fiscal surplus of SGD8.5bn (1.0% of GDP) for FY2026 marks the third consecutive year of surplus, extending the positive public financial performance of recent years, even amid increased focus on various spending priorities. The fiscal impulse is assessed to be mildly expansionary in FY2026.

##### Fiscal prudence was typically observed in the first budget of a new government term

Overall fiscal position,  
% of GDP



FY2011 FY2014 FY2017 FY2020 FY2023 FY2026  
(B)

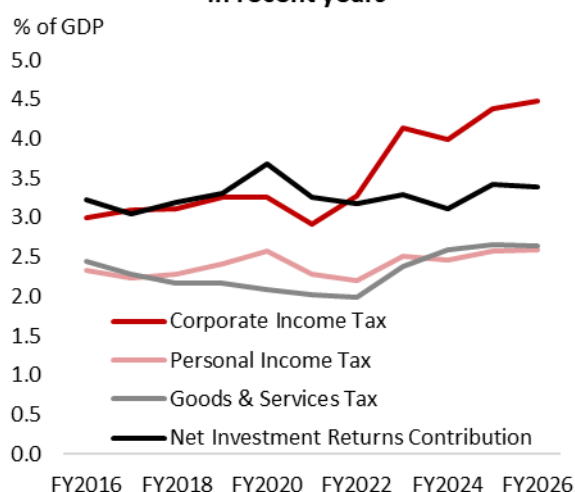
Source: CEIC, MOF, DBS

Based on outcomes from FY2021 to FY2024 and higher revised surplus of SGD15.1bn for FY2025, we estimate that the government is poised to cumulatively accumulate a strong overall positive fiscal position of SGD22.3bn over its previous term. This reflects Singapore's robust and resilient economic performance despite global turbulence.

**Healthy public finances and fiscal strength remain a key competitive advantage, providing the crucial policy space to deliver bold, strategic plans to navigate the significant shifts in an increasingly complex global environment.**

As a share of GDP, total revenues (comprising operating revenue and Net Investment Returns Contribution, NIRC) will remain strong, and continue outstripping total spending (comprising total expenditure and special transfers) of 18.9%, despite falling slightly to 19.4% in FY2026 from 19.7% in FY2025. Corporate income tax revenues will remain the largest revenue contributor, sustaining at above 4% of GDP for the fourth consecutive fiscal year. The government expects higher corporate tax collections in FY2027 with the implementation of the Top-up Tax under Pillar Two of BEPS. Total revenues will also be bolstered by the NIRC at a stable 3.4% of GDP.

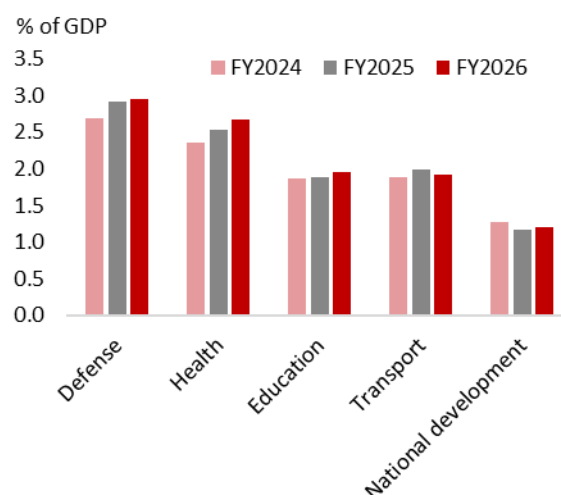
**Strength in key revenue sources in recent years**



Source: CEIC, MOF, DBS

However, the government's spending needs will rise over time to meet top priorities in areas such as defence, healthcare, education, and the economy. Amid an unstable world due to rising geopolitical uncertainty, Singapore will increase its defence spending to 3.0% of GDP in FY2026. It expects security-related expenditures to rise in the coming years to keep Singapore safe and secure, and is prepared to allocate more if needed. Healthcare spending will rise to 2.7% of GDP in FY2026 from around 2.4-2.5% of GDP in the preceding four years, and is also poised to face upward pressures as Singapore tackles demographic challenges from a rapidly aging population.

**Continued spending in key areas**



Source: CEIC, MOF, DBS

Special transfers will decline for the third consecutive year to 2.6% of GDP in FY2026, but the government continues to make strategic top-ups and investments to support long-term economic strategies and priorities. These include additional allocations to the Changi Airport Development Fund (SGD6bn) to boost air connectivity, as well as the National Productivity Fund (SGD6bn) and National Research Fund (SGD5bn) to drive research and development as well as innovation.

## Singapore's overall fiscal position

|                                                                     | Actual<br>FY2024 | Revised<br>FY2025 | Budgeted<br>FY2026 | Change over<br>Revised FY2025 |             |
|---------------------------------------------------------------------|------------------|-------------------|--------------------|-------------------------------|-------------|
|                                                                     | SGD bn           | SGD bn            | SGD bn             | SGD bn                        | % change    |
| <b>Operating revenue</b>                                            | <b>115.5</b>     | <b>130.9</b>      | <b>134.8</b>       | <b>3.9</b>                    | <b>3.0</b>  |
| Less:                                                               |                  |                   |                    |                               |             |
| <b>Total expenditure</b>                                            | <b>112.3</b>     | <b>124.5</b>      | <b>137.3</b>       | <b>12.9</b>                   | <b>10.3</b> |
| Operating expenditure                                               | 88.9             | 97.5              | 103.3              | 5.8                           | 6.0         |
| Developmental expenditure                                           | 23.4             | 27.0              | 34.0               | 7.1                           | 26.1        |
| <b>Primary surplus/deficit</b>                                      | <b>3.2</b>       | <b>6.4</b>        | <b>-2.6</b>        |                               |             |
| Less:                                                               |                  |                   |                    |                               |             |
| <b>Special transfers</b>                                            | <b>25.0</b>      | <b>23.4</b>       | <b>21.7</b>        | <b>-1.6</b>                   | <b>-7.0</b> |
| Special transfers excluding top-ups to<br>endowment and trust funds | 3.0              | 3.8               | 2.8                |                               |             |
| <b>Basic surplus/deficit</b>                                        | <b>0.3</b>       | <b>2.6</b>        | <b>-5.4</b>        |                               |             |
| Top-ups to endowment & trust                                        | 22.1             | 19.6              | 18.9               |                               |             |
| Add:                                                                |                  |                   |                    |                               |             |
| <b>Net investment returns contribution</b>                          | <b>24.1</b>      | <b>27.5</b>       | <b>28.5</b>        | <b>0.9</b>                    | <b>3.4</b>  |
| <b>Overall budget surplus/deficit</b>                               | <b>2.3</b>       | <b>10.6</b>       | <b>4.2</b>         |                               |             |
| Add:                                                                |                  |                   |                    |                               |             |
| Capitalisation of nationally significant<br>infrastructure          | 4.2              | 5.0               | 5.0                |                               |             |
| Less:                                                               |                  |                   |                    |                               |             |
| SINGA interest costs & loan expenses                                | 0.4              | 0.5               | 0.7                |                               |             |
| <b>Overall fiscal position</b>                                      | <b>6.1</b>       | <b>15.1</b>       | <b>8.5</b>         |                               |             |
| <b>Overall balance as % of GDP</b>                                  | <b>0.8</b>       | <b>1.9</b>        | <b>1.0</b>         |                               |             |

Source: MOF

## Economic Strategy Review (ESR) Mid-term Update

| # | Recommendations                                                                                                 | Details                                                                                                                                                                                                                                                                                                  |
|---|-----------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | Extend our lead and establish global leadership in key growth sectors                                           | <ul style="list-style-type: none"> <li>• Harness AI, automation and sustainable technologies to transform advanced manufacturing</li> <li>• Tap on our reputation to grow a trust industry</li> <li>• Capture higher-value jobs and new opportunities for Singaporeans</li> </ul>                        |
| 2 | Boldly pursue emerging opportunities to create new engines that can push the growth frontier of our economy     | <ul style="list-style-type: none"> <li>• Invest in areas such as quantum and space tech</li> <li>• Attract and nurture globally-leading enterprises</li> <li>• Sustain a vibrant start-up ecosystem and entrepreneurial culture, with more support for high-potential start-ups</li> </ul>               |
| 3 | Establish Singapore as an AI leader with an AI-empowered economy                                                | <ul style="list-style-type: none"> <li>• Position Singapore as a place to develop, test, deploy and scale impactful AI solutions</li> <li>• Drive AI adoption across the economy to lift productivity</li> <li>• Support firms and SMEs to transform and benefit from AI</li> </ul>                      |
| 4 | Strengthen connectivity and linkages to global markets, and more aggressively support firms to internationalise | <ul style="list-style-type: none"> <li>• Invest in transport hubs and networks for new supply chain opportunities</li> <li>• Strengthen trade cooperation</li> <li>• Help firms venture overseas and bring value back to Singapore through higher-value jobs and additional revenue</li> </ul>           |
| 5 | Broaden the range of good jobs in our economy                                                                   | <ul style="list-style-type: none"> <li>• Uplift and transform jobs in sectors that can better withstand global shifts</li> <li>• Including jobs in skilled trades and care and social services</li> <li>• Nurture a new generation of founders to build the next wave of enterprises and jobs</li> </ul> |
| 6 | Make lifelong learning a practical reality and empower every worker to take charge of their career              | <ul style="list-style-type: none"> <li>• Make lifelong learning a practical reality by blending training with work</li> <li>• Build AI literacy across the workforce</li> <li>• Strengthen career transition support via better career guidance, job matching and placement services</li> </ul>          |
| 7 | Enable our businesses to proactively navigate transitions                                                       | <ul style="list-style-type: none"> <li>• Help firms better understand and shift to more viable opportunities as the economy restructures</li> <li>• Review tools and resources available to business leaders</li> </ul>                                                                                  |

Source: Singapore government

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